Plug-and-Play, or Still Plugging In? A Functional Audit of Pakistan's CPEC Special Economic Zones

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Pakistan markets its Special Economic Zones as plug-and-play platforms for Chinese manufacturers looking to relocate. The marketing language has stayed remarkably consistent for nearly a decade; the delivery record has not kept pace. This piece sets aside the official announcements and asks a narrower, more useful question for a Chinese investor actually weighing where to put a factory: of the zones that were promised operational years ago, how many can genuinely take a tenant today, and what does the gap between announcement and function reveal about the newer, much larger pipeline of zones now being promoted under CPEC's second phase.

1. Context

Nine Special Economic Zones, seven provincial and two federal, were agreed as the industrial cornerstone of CPEC at the sixth meeting of the Pakistan-China Joint Cooperation Committee (cscr.pk). The pitch was straightforward: designated land, tax exemptions, dedicated utilities, and customs facilitation, intended to draw Chinese manufacturers relocating under rising domestic costs and, later, under Western trade restrictions. The government targeted USD 8 billion in foreign direct investment and 500,000 jobs from these zones between 2018 and 2024. Both targets were missed by a wide margin, and as of 2025 only four of the original nine, Rashakai in Khyber Pakhtunkhwa, Allama Iqbal Industrial City in Punjab, Dhabeji in Sindh, and Bostan in Balochistan, had moved beyond the planning stage into any form of partial implementation (worldatnet.com).

These four zones are worth examining individually, because each has been publicly declared a success at a different point in the last five years, and each declaration has been followed by a further, quieter delay. Rashakai's first phase was formally inaugurated by the sitting Prime Minister in July 2023, and it now carries a listed legal status of operational, covering roughly 1,000 acres with projected employment of 70,000 direct and 250,000 indirect jobs (en.wikipedia.org). Dhabeji, a 1,530-acre site near Port Qasim developed under a public-private partnership with contractor Zahid Khan & Brothers, was granted formal SEZ status by the Board of Investment in June 2023, itself arriving after what Dawn's own headline described as a five-year delay, with an initial target of USD 5 billion in investment and 200,000 jobs (dawn.com). Bostan in Balochistan had its Phase-I development work publicly declared complete as early as November 2021 (dailytimes.com.pk).

2. Analysis

The pattern across all three zones is the same, and it is the pattern a functional audit is meant to surface: an announcement of completion or operational status, followed by a gap of years before anything resembling a functioning industrial tenant base materialises, if it materialises at all. Bostan is the clearest case. Development work was declared complete in November 2021. Four years later, in October 2025, the Balochistan High Court had to order the provincial government to activate the zone by 15 December, an unusual judicial intervention that only makes sense if the zone remained, in substance, non-functional years after officials had already told the public it was finished.

Dhabeji shows a subtler version of the same gap. Formal SEZ status was granted in 2023, and government messaging since has consistently described the site as investment-ready, offering, in the developer's own words, a plug-and-play platform. Yet as recently as April 2026, the Sindh Chief Minister was still personally courting a delegation of Uzbek investors to consider locating in Dhabeji (radio.gov.pk), which is the language of a zone still recruiting its first anchor tenants, not one operating at scale nearly three years after its formal designation. Rashakai carries the strongest claim of the four, with an actual prime ministerial inauguration of a completed first phase, but even there the designation covers only the initial phase of a three-phase development plan, and independent, zone-level data on how many of the serviced plots are actually occupied by producing factories, as opposed to allocated on paper, remains difficult to find in any public source. That absence of occupancy data is itself the finding: a Chinese investor cannot verify a zone's real utilisation rate from any government publication currently available, and has to rely instead on the same promotional language that has proven unreliable at each of the three zones examined here.

Despite this record, Pakistan and China have not paused to consolidate the original nine zones before expanding the pipeline. On 16 January 2026 the Board of Investment announced that the number of approved SEZs under CPEC's second phase had surged from seven to forty-four, with thirty-seven new zones formally notified in a single tranche (tendersgo.com), a scale-up independently corroborated by a Stockholm-based policy institute tracking the same figures (isdp.eu). Multiplying the number of approved zones sixfold, before the original four have demonstrated they can retain tenants without a court order or a fresh round of investor courtship, spreads the same limited provincial administrative capacity, land acquisition process, and utility-provisioning budget across a much larger set of commitments. It is difficult to see how this improves the odds for any individual zone, including the newer ones being pitched directly to Chinese manufacturers today.

3. Implications

For a Chinese manufacturer evaluating Pakistan against alternative relocation destinations, the practical consequence is that official SEZ status, a ministerial inauguration, or a developer's plug-and-play marketing material cannot be treated as a reliable proxy for whether a zone can actually receive a tenant on a workable timeline. Bostan's four-year gap between declared completion and a court-ordered activation is the sharpest illustration, but Dhabeji's continued investor-recruitment activity nearly three years after formal designation tells a similar story with softer edges. The expansion to forty-four approved zones compounds the problem rather than resolving it, since it signals that the government's near-term priority is adding new commitments to the pipeline rather than closing the credibility gap on the ones it has already declared finished twice. For Chinese firms that have already committed capital, principally in energy generation, arrears and payment delays remain a separate and better-documented risk; for firms still deciding whether to relocate manufacturing, the SEZ track record adds a second, less visible risk, that the zone itself may not be genuinely ready even where every official document says otherwise.

4. The Way Forward

Two steps would help close the information gap. First, provincial Boards of Investment and the CPEC Secretariat should publish zone-level occupancy data, plots allotted versus plots with a producing tenant, utility connections completed, and customs bonding status, updated at fixed intervals, rather than relying on one-off inauguration announcements that a prospective investor has no way to verify independently. Second, in the near term, a Chinese firm evaluating any of the forty-four newly approved zones should treat the track record of the original four as the relevant benchmark rather than the marketing material for the new site, and should request, ahead of any commitment, direct evidence of utility connection, road access, and customs facilitation of the kind that took Bostan a court order to confirm. Until Pakistan can show that its four longest-standing SEZs are genuinely functioning, the credibility of the forty new commitments will rest on assertion rather than evidence, and Chinese investors are the party best positioned to insist on the difference.

About the Author

Reza Khan is a researcher with an M.Phil. in Government and Public Policy from the National Defence University, Islamabad, and an MBA in Finance. His professional experience spans business strategy, international trade, economics and organizational leadership, and he has taught Development Economics, Microeconomics and Supply Chain Management at the University of London Global MBA programme. His analytical interests include public policy, governance, strategic communication and the interaction between technology, institutions and society.

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